

Pre-interest Return on Assets

It is often said that the pre-interest return on assets is a purer measure of profitability since it is difficult to compare the posttax performance of companies on account of interest and taxation. This is because the interest paid will vary from company to company and will depend on its borrowings. Similarly, the tax liability of companies differs and depends on the manner in which it has planned its tax. This ratio therefore suggests that the return should be based on operating income and is arrived at by dividing earnings before interest and tax by the average total assets:

$$\text{Pre-interest return on assets} = \frac{\text{Earning before interest and tax}}{\text{Average total assets}}$$

Illustration

Rampole Menon Ltd.

	Year-1	Year-2
	Rs. (lakh)	Rs. (lakh)
Earnings before interest & tax	250	300
Total assets	1,000	1,400
Pre-interest return on assets would be:		

$$\frac{300}{0.5 \times (1000 + 1400)} \times 100 = 12.1/2\%$$

An investor must compare the return earned by a company with that of other companies, preferably in the same industry, to determine whether the return earned is high or low.